MERIDIAN

Q2 2026 BOARD REVIEW

Meridian Supply Co.

Revenue, margin and what we do next quarter

Revenue grew 14%, but margin fell for the third quarter

- Net revenue EUR 48.2M, +14% YoY, led by dive gear in DACH
- Gross margin 31.4%, down 2.1 pts on freight and oyster-sauce discounting
- Returns rate 6.8%, up from 4.9%; concentrated in car-oil SKUs

EUR 48.2M
net revenue

31.4%
gross margin

6.8%
returns

Ad spend is up 40%; we cannot yet show it paid for itself

- Paid search and social spend EUR 3.1M in H1, +40% YoY
- Attribution model is last-click only; no holdout has been run
- Proposal: geo holdout on search in Q3, read-out before the Q4 budget

EUR 3.1M
H1 ad spend

+40%
YoY

0
holdouts run

Decisions requested today

- Approve Q3 geo holdout on paid search (EUR 120k)
- Approve returns-reduction programme for car-oil SKUs
- Note the revised Q3 revenue guidance of EUR 24-26M